DAVAO DEL SUR STATE COLLEGE
Matti, Digos City, Davao del Sur, Philippines

INCOME GENERATING PROJECT MANUAL

PREFACE

Income generation was strengthened and expanded in almost every SUC especially with the passage of Republic Act 8292 otherwise known as the Education Modernization Act that mandated to enter into joint ventures with business and industry for the profitable development and management of the economic assets of the college or institution, the proceeds from which to be used for the development and strengthening of the college or university. In addition to the regular income generated from tuition and other school fees, the Davao Del Sur State College has been engaged in generating additional income through various income generation projects (IGPs). Given the meager budget allocation for maintenance and service, it becomes so crucial to do this.

The development of this College IGP Manual is very important given the above situation. This will certainly serve as a guide to starting a business project and to facilitating IGP management processes and transactions, so that better and successful management of projects can be attained. The introduction of organizational protocols and record and record keeping processes as well as financial controls would definitely assist those in charge of the projects to become successful and productive managers.

With this manual, it is hoped that it will lead to the development of new IGPs as well as the expansion of existing ones, thereby generating the much-needed income to create and sustain the college's various programs, projects and activities.

AUGIE E. FUENTES, Ph.D.
College President

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DEFINITION OF TERMS

Income Generating Project –an investment or business activity that generates profit.

Production – It is the act of creating an output, a good or service which has value and contributes to the utility of individuals.

Services – a transaction in which no physical goods are transferred from the seller to the buyer.

Rental –is an agreement where a payment is made for the temporary use of a good, service or property owned by another.

Organizational Structure – is a system that outlines how certain activities are directed in order to achieve the goals of an organization. These activities can include rules, roles, and responsibilities.

Risk Management – is the process of identifying, assessing and controlling threats to an organization's capital and earnings.

Profit Sharing – a plan that gives employees a share in their company's profits based on its quarterly or annual earnings
Net Income actual business profit after expenses and allowable deductions are taken out.

Gross Income – is the sum of all wages, salaries, profits, interest payments, rents, and other forms of earnings, before any deductions or taxes.

Credits – the ability of a customer to obtain goods or services before payment, based on the trust that payment will be made in the future.

CHAPTER 1

GENERAL INFORMATION

History of DSSC

Davao del Sur State College (DSSC) is the lone State College of Davao del Sur. DSSC is located at Barangay Matti, Digos City, Davao del Sur. It was formerly known as Southern Philippines Agribusiness and Marine and Aquatic School of Technology (SPAMAST) Digos campus.

In 1989, SPAMAST, as the mother college of Davao del Sur State College, through the initiative of the second president - Dr. Francisco C. Ladaga, Sr. has acquired a total of 5.4 hectares for laboratory and instruction located in Matti, Digos City through the donations from the Provincial Local Government Unit (PLGU) of Davao del Sur. This started the establishment of the new campus which in Digos City.

Six (6) years later, in 1995, an additional 30-hectare land in Matanao, Davao del Sur was acquired and intended for production, research, and extension services to create a significant niche in the agricultural development of the province.

As the academic offerings grew, SPAMAST in 2000, repositioned itself by reorganizing the campuses into colleges which renamed Digos Campus became the College of Agricultural Sciences (CAS) with laboratory and production site in Matanao.

DSSC's separation from its former mother institution and conversion into a state college had a number of legislative turns involving key legislators from the House of Representatives.

On October 3, 2016, Hon. Lorna P. Bautista-Bandigan filed a House Bill 3927 entitled: "An Act Removing the Digos City Campus as Part of the Southern Philippines Agribusiness and Marine and Aquatic School of Technology (SPAMAST), Appropriating Funds Therefore and for other Purposes". Then, on March 14, 2017, Hon. Mercedes "Didi" C. Cagas filed House Bill 5243 with Hon. Jose Antonio Sy- Alvarado as Co-author. The bill was titled: "An Act Converting the Southern Philippines Agribusiness and Marine and Aquatic School of Technology (SPAMAST) Davao del Sur Campuses into a State College to be known as Davao del Sur State College and Appropriating Funds Therefore". Then, the two parties of Hon. Cagas and Hon. Bandigan agreed to consolidate their respective bills which gave rise to House Bill 6715, "An Act Separating the Southern Philippines Agribusiness and Marine and Aquatic School of Technology (SPAMAST)- Digos Campus in the City of Digos, Davao del Sur from the SPAMAST in the Municipality of Malita, Davao Occidental, and Converting it into A State College to be known as the Davao Del Sur State College, and Appropriating Funds Therefore". The bill was approved by the House of Representatives on December 11, 2017.

On August 28, 2018, the Senate accepted the request by the Lower House for a conference on House Bill 6715. The Senate approved the Conference Committee Report on November 27, 2018. It was also approved by Congress on the following day. They agreed on the final title- "An Act Separating the Southern Philippines Agribusiness and Marine and Aquatic School of Technology

(SPAMAST)- Digos Campus in the City of Digos, Davao del Sur from the SPAMAST in the Municipality of Malita, Davao Occidental, and Converting it into A State College to be known as the Davao Del Sur State College, and Appropriating Funds Therefore".

The Bill was signed into law by President Rodrigo R. Duterte on February 21, 2019. It is now known as Republic Act 11220 and made Davao Del Sur State College the 112th public higher education institution in the country.

Having complied with all the CHED requirements, the conversion of the college was certified by the Commission on Higher Education (CHED) en banc by virtue of Resolution No. 494-2019, on

August 13, 2019. Dr. Maricar Casquejo, the Regional Director of the CHED Region XI was designated as the Officer In-charge of DSSC from December 12, 2019 to September 27, 2020. On September 28, 2020, after a thorough search, the DSSC Board of Trustees approved the appointment of Dr. Augie E. Fuentes as the First President of the College.

DSSC has six institutes, the Institute of Agriculture and Related Sciences (IARS), Institute of Business Education and Governance (IBEG), Institute of Teacher Education (ITEd), Institute of Mathematics, Arts, and Sciences (IMAS), Institute of Computer Education and Technology (ICET), and Institute of Graduate and Professional Education (IGPE). Further, DSSC has extension campuses in Matanao, Sulop and Kapatagan.

Vision

"Internationally-recognized Quality-driven State Institution of Higher learning for innovative and inclusive transformation"

Mission

"Committed to provide an Innovative Academic Environment with Highest Standards in Instruction, Research, Extension and Production while preserving the culture and ecosystem for a Transformative experience of our stake players."

Goals

1. To uphold academic excellence and establish its position as an internationally recognized institution in the ASEAN region;
2. To establish linkages for resource generation and mobilization locally and internationally;
3. To build the stature of the College as a research innovation institution responsive to the development of Science and Technology; and
4. To enhance and strengthen partnerships with stake players through community services and linkages.

Core Values

S – Service with Integrity

M - Mindfulness

A - Accountability
R - Respect
T – Teamwork for DSSC

School Seal

Components of the DSSC Seal



The **10 MAROON TRIANGLE SHAPES** represent the municipalities of Davao del Sur - Matanao, Bansalan, Magsaysay, Padada, Malalag, Kiblawan, Hagonoy, Sta Cruz, Sulop and the component city of Digos.

The **MT. APO** is the highest mountain in the country. Davao del Sur sits at the foot of the highest mountain in the Philippines. It is the source of the province's rich alluvial soil - the reason for Davao del Sur's abundant harvest. Mt. Apo is also the home to the indigenous peoples of the Davao region who greatly contribute to its rich culture and heritage. Below the mountain is an abstract representation of an agricultural land.

The **"HAGDANG PALAYAN"** represents the school's contribution to agriculture. Davao del Sur State College continues and will continue to produce quality graduates in the field of agriculture who will serve the province, our country and even beyond the Southeast Asian Region. The stairs also represent the school's quest for constant improvement towards academic excellence. Aside from agriculture, the school also produces top notch students in other fields like Education, Governance, Communication, Engineering and Information Technology.

The **LIGHT BULB** represents academic innovation in enhancing knowledge and skills. Davao del Sur State College always strives for excellence in training and teaching the future professionals and technocrats of this province. It aims to provide learning of the highest standard.

The **10 LIGHT RAYS of the bulb** represent the 10 ASEAN Countries. Davao del Sur State College always strives to provide competitive professionals needed in the development of our region - the ASEAN region. It aims to be at par with other top educational institutions not only in our country but in the entire world.

The **4 GEARS** represent Davao del Sur State College's dedication towards science and technology. Davao del Sur State College always strives to produce graduates proficient in today's technologies. These 4 gears also represent the four-fold functions namely- instruction, research, extension and production.

The **CIRCLE SHAPE** of the logo represents unity of among the people of Davao del Sur towards achieving sustainable progress for all.

The **STARS** represent the role of Davao del Sur State College as a guiding light to the people of Davao del Sur in achieving their dreams through quality education

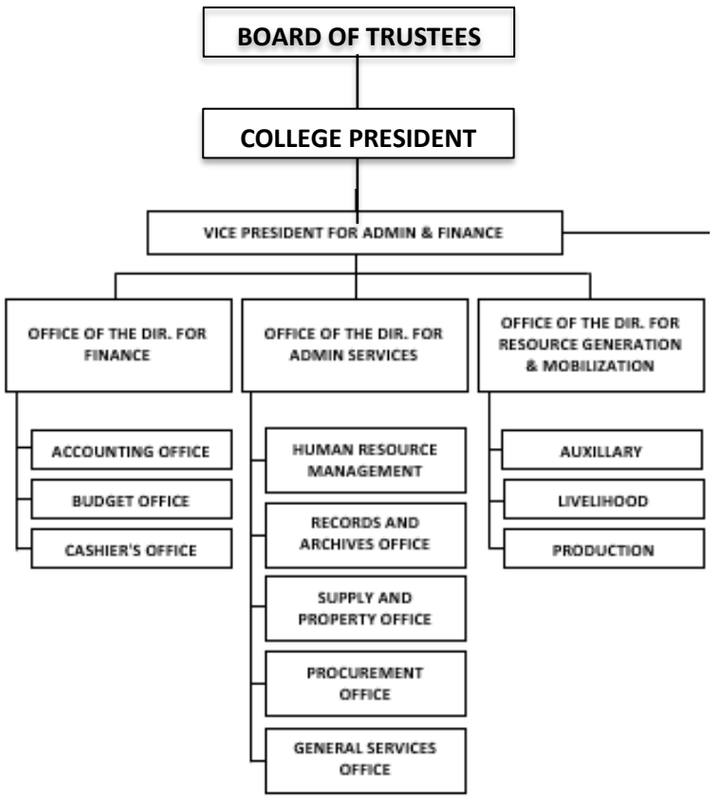


Figure1. Organizational Structure of DSSC

Importance of Implementing Income Generating Project

State universities and colleges are encouraged to undertake income generating initiatives to increase limited resources and be self-sufficient and independent later on. The increase in revenue generation is expected to offset the fluctuating Maintenance and Other Operating Expenses (MOOE) budget and Capital Outlays (CO) with limited allocation.

The funding reduction for state universities and colleges and the growing pattern in enrollment in virtually all colleges provide a seemingly grim scenario for the Davao Del Sur State College, which has a small annual budget that does not fulfill the needs of its clientele more frequently than not.

Davao Del Sur State College's (DSSC) revenue generating projects have been planned as an immediate response to the government's urgent call to formulate and implement resource mobilization and generation schemes that will raise college resources and fill the budget gap for any related expense items that the university may incur. Therefore, the passage of the Republic Act 8292 also referred to as the 1997 Higher Education Modernization Act, which explicitly states that:

The implementation of income generating projects (IGP’s) may be a very important and relevant solution to the needs of the college, such as;

1. IGPs improve the credibility of the college especially when idle human and land resources are made productive. It is not the land size that matters, but whether the students and farmers can be equipped with skills, exposed to technology,

and provided with support system to increase their yield even from a small piece of land;

2. IGPs are models for rural development. Real projects that are generating income are something that people could feel and see. Dissemination of technology and relevant information about agriculture and fisheries would be easier if the people can see models particularly in terms of the contribution of agriculture to rural development;

3. IGPs serve as venues for hands-on training of students and other interested individuals, groups, and future entrepreneurs. Learning inside the classroom is not enough. In order to better develop

the students' competence and entrepreneurial capabilities, there is a need to immerse them in the projects;

4. IGPs provide opportunities for interfacing research, instruction and extension. Results of research are used to improve production and instruction. Experiences in the agribusiness projects are shared to the faculty, staff, students, entrepreneurs, rural people and other through instruction, extension and training;

5. IGPs create employment. Establishment of IGPs need human resources in the culture/care and management of crops, animals, and fishes;

6. IGPs provide incentives to people who are hardworking, committed, and creative. Depending on the income of the project and sharing arrangement, project staff can earn additional income;

7. IGPs help in human resource development. By giving scholarship slots to deserving students and financial support to non-degree trainings of faculty and staff; and,

8. IGPs supplement the budget of the school. The income can be used to employ/hire additional personnel in the project and purchase supplies, materials, and equipment needed for instruction, research and extension, training, and production activities.

9. IGP in the nutshell provides a show window to all extreme entrepreneurial activities with and without undertaken by the college.

Eventually, the college can have an impact on rural development through sustained economic growth in areas where it is located. Agricultural productivity and profitability through IGPs will ultimately improve the quality of life of the people.

Legal Basis of DSSC to Undertake IGPs

The authority and right of the college to engage in income generating projects to raise additional revenue for its support are not without legal bases. In fact, a number of legal issuances have been cumulatively put in place for this purpose since 1979 and these are the following:

1. LOI No. 872 (June 8, 1979)

b. Encouraged agricultural schools, colleges and universities to participate in food
production projects; and
c. Authorized schools to establish Revolving Fund (RF) from the income of food production
program.

2. NBC 331 (November 27, 1980)
b. Authorized the establishment of Revolving Fund (RF) for Agricultural Schools;
c. Provided guidelines to implement LOI 872 relative to the participation of government
schools in the food production program;
d. Prescribed rules and procedures concerning the creation of school Revolving Fund (RF)
out of the income realized from agricultural projects; and
e. Created Fund 161.

3. LOI No. 1026 (May 23, 1980)
b. Directed the acceleration of manufacturing operations of national schools.

4. COA Circular No. 84-239 (August 15, 1984)
b. Prescribed uniform procedures for proper valuation, recording and reporting of products acquired or produced by government agencies.

5. DBM Circular Letter No. 92-8 (November 18, 1992)
b. Provided guidelines on the establishment of Revolving Fund (RF) of SUCs for the operation of auxiliary services; and

c. Created Fund 163.

6. DBM Circular Letter No. 94-5 (June 17, 1994)
b. Prescribed the guidelines on the use of income and the creation, operation and maintenance of Revolving Fund of various agencies.

7. NCC 75 (March 1, 1995)
b. Prescribed the rules and procedures in granting honoraria to government officials and employees involved in special projects.

8. RA No. 8292 (June 1997)
b. Provided powers to SUC governing board to allow the school to generate more income through a more effective utilization of their existing resources;
c. Authorized the SUC governing board to decide on the use of school income for any reasonable purpose, which in its discretion, may be necessary and urgent for the attainment of the objectives and goals of the University or College.

9. General Appropriations Act FY 2000 (Sec. 4 of the General Provisions)
b. Authorized existing Revolving Fund to continue their operations except those which are reflected under “use of income”;
c. Considered Revolving Fund as self-perpetuating and self-liquidating.

The Need for IGP Manual

Therefore, the college wants this IGP manual to provide a common IGP management guide. In starting an entrepreneurial program on sales generation,

organization and administration, processes, documents and documentation system, and financial management, it aims to include standardized procedures. Furthermore, this manual may be gleaned from how to be effective and successful in the service of the IGP. In addition, this manual can lead to the IGPs' simple process of documentation, tracking and assessment.

Finally, it will act as a way of promoting the significance, value and utility of the IGPs and the proper handling of the college's unused human and material capital, thus institutionalizing the college system's revenue-generating program.

CHAPTER 2

STARTING AN INCOME GENERATING PROJECT (IGP)

The secret to an effective project is effective program formulation, just as with any business enterprise. How to start is the toughest part. The software and the individual projects comprising it are structured into a framework whereby a specified sum of resources is used successfully in a particular manner to accomplish certain goals, all within a definite time. Therefore, its introduction involves multidisciplinary effort and the deployment of multiple expertise and services that will result explicitly or indirectly in new or additional contributions to the social, economic and financial contributions of the different client groups of the college.

One of the shortcomings that can result in the failure of a college/ university's Income Generation Projects can be due to poor project planning and execution, especially the often less than systematic manner in which proposals or principles are incorporated into the institution's general priorities and objectives.

This chapter gives some useful tips and tactics about how to launch an Income Generating Project (IGP) for DSSC. The necessary steps to take in setting up a project are enumerated and addressed.

Classifications of Income Generating Projects

1. Production Projects

1.1 Crop projects (orchard, field crops, root crops, industrial crops, etc.)
Crop contracting the landlord and tenant agree that rent will be paid in the form of a percentage of income derived from the subject property. For example, parties may agree that the land owner will receive 30% of the net income from the land as rent payment.

1.2 Animal Project
The farmer-beneficiaries were urged to take good care of the farm animals in order to maximize its use and in the process can help them in raising more animals in their farms or backyards. Aside from piglets and goats, the Office also disperses cows, carabaos, chicken and ducks to the beneficiaries making the program more helpful to the farmers but the beneficiaries will abide with the Memorandum of Agreement which emphasizes the 70/30 net income arrangement (70 management/30 beneficiaries).

1.3 Marine Projects
The leasor and leasee agree that rent will be paid in the form of a percentage of income derived from the subject property. For example, parties may agree that the owner will receive 30% of the net income as rent payment or vice versa.

1.4 Food Processing

2. Services Projects

2.1 Canteen/Coffee Shop
2.2 Hostel/Dormitory/Guest house
2.3 Transportation

2.4 Printing facility/binding
2.5 Recreation center

2.6 Modules/instructional guide production
2.7 Merchandising
2.8 Consultancy

3. Rentals

3.1 Land rental
3.2 Machineries and equipment
3.3 Business stall rentals

Project Management System

This area involves the planning and organization of a company's resources to move a specific task, event, or duty towards completion.

Project Initiation. This is the start of the project, and the goal of this phase is to define the project at a broad level. It usually begins with a business case. This is when you will research whether the project is feasible and if it should be undertaken. If feasibility testing needs to be done, this is the stage of the project about to be completed.

Project Planning. This is key to successful project management and focuses on developing a roadmap that everyone will follow. This typically begins with setting goals. More popular method for setting goals is S.M.A.R.T.

S.M.A.R.T. Goals – This method helps ensure that the goals have been thoroughly vetted. It also provides a way to clearly understand the implications of the goal-setting process.

Project Execution. This is where deliverables are developed and completed. This often feels like the meat of the project since a lot is happening during this time, like status reports and meetings, development updates, and performance reports. A “kick-off” meeting usually marks the start of the Project Execution phase where the teams involved are informed of their responsibilities.

Project Monitoring. This is all about measuring project progression and performance and ensuring that everything that happens aligns with the project management plan. Project managers will use key performance indicators (KPIs) to determine if the project is on track.

Project Closure. This represents the completed project and contractors hired to work specifically on the project are terminated at this time. Valuable team members are recognized. Once a project is completed or the project is not gaining, a PIC will often hold a meeting sometimes referred to as a “post mortem”, to evaluate what went well in a project and identify project failures. This is especially helpful to understand lessons learned so that improvements can be made for future projects. Once the project is completed, PIC still has a few tasks to consider. They will need to create a project punch list of things that didn’t get accomplished during the project and work with team members to complete them. Perform a final project budget and prepare a final project report.

CHAPTER 3

ORGANIZATION AND MANAGEMENT

This chapter presents the organizational chart, duties and functions of the personnel involved in the operation and management of IGPs, from the administrators to the project-in-charge and skilled worker.

Organizational Structure

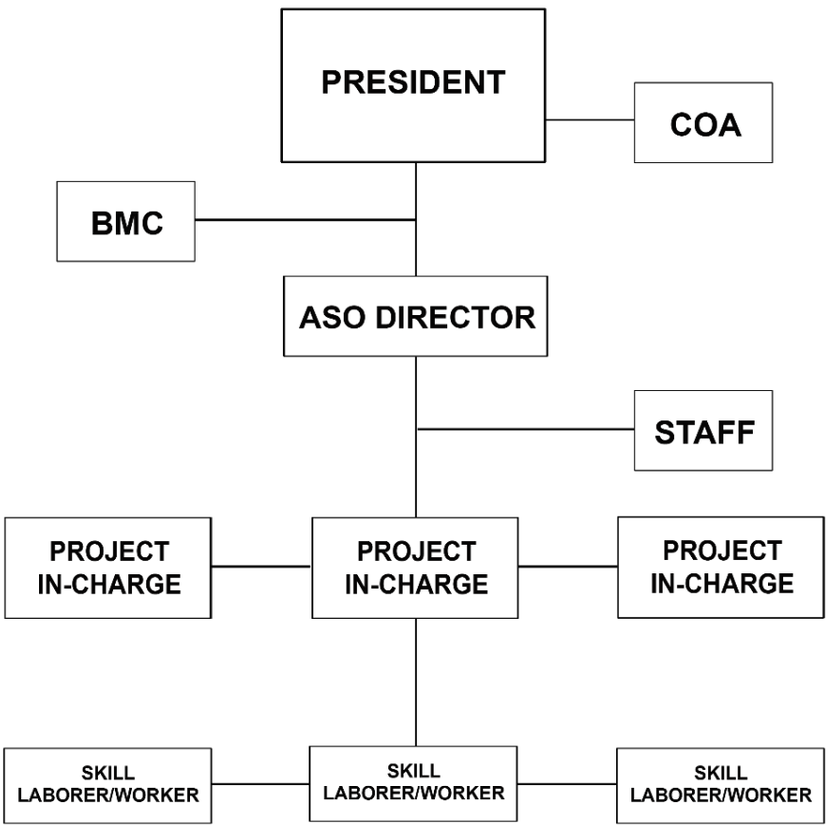


Figure2. Organizational Structure of ASO

Composition and Functions of Management

College President

ASO is headed by the SUC President. It's functions and duties in the governance and management of different projects are inherent to his position.

Business Management Committee (BMC)

The BMC shall compose of five (5) members headed by the SUC President. The members will include the ASO, CAO, Research Director and finance officer.

1. To determine investment priorities and to develop/promote such projects according to acceptable investment criteria.
2. To set performance objectives and standards, develop strategies, and review, scrutinize, and evaluate management plans, and operational and financial reports.

3. Formulate policies and implement rules and regulations to govern the business activities that would be the basis for decision-making regarding funds, material and human resources in accordance with the existing auditing and accounting procedures.
4. Recommend for approval and implementation of incentive scheme commensurate to the performance of the ASO personnel and support staff.
5. Perform other functions attaining the objectives

Auxiliary Services Director

The ASO Director shall be appointed by the President from the Teaching and Non-teaching staff with a regular item having a strong background and sufficient experience in business management and economics and shall perform the following duties and responsibilities.

1. Assumes direct responsibility and supervision

2. To make projects an accessible venue for instruction, research, extension, and other related programs and development in line with the institution's policies and mandate,

3. To recommend to the President establishment/construction, improvement/expansion, repair of facilities and equipment's and other resource materials to realize goals and objectives,

4. To recommend to the President the appointment or designations of lower-level personnel and dismissal of the same for cause after due process,

5. Disseminate information to all ASO units and personnel regarding matters and mechanisms pertaining to programs and projects,

6. Uphold sense of responsibility, motivate cooperation and create a harmonious working environment,

7. Consolidate and submit periodic reports to the President pertaining operational status of the B projects,

8. Perform other functions as may deem necessary.

Project in-Charge

Project Manager shall be designated by the President upon the recommendation of the ASO Director. He/she shall have technical expertise/entrepreneurial capability and under the supervision of the ASO Director.

1. Implement and supervise the project based on approved work and financial plan,
2. Assume direct responsibility over projects and achieve the targets with optimum efficiency,
3. Follow policies, programs and mechanics specified by the management,
4. Conduct periodic monitoring, review records, information of its projects and perform market analysis,
5. Perform other functions as may deem necessary.

Staff

1. Handle the administrative matters.
2. Provide assistance to auxiliary service operation
3. Perform other functions as may deem necessary.

Skilled Laborer/Worker

1. Performs hands on activities of the project,
2. Gives feedback to project in charge on the status of the project,
3. Takes charge on the safe keeping on all supplies and equipment under the project,
4. Perform other functions as may deem necessary.

CHAPTER 4

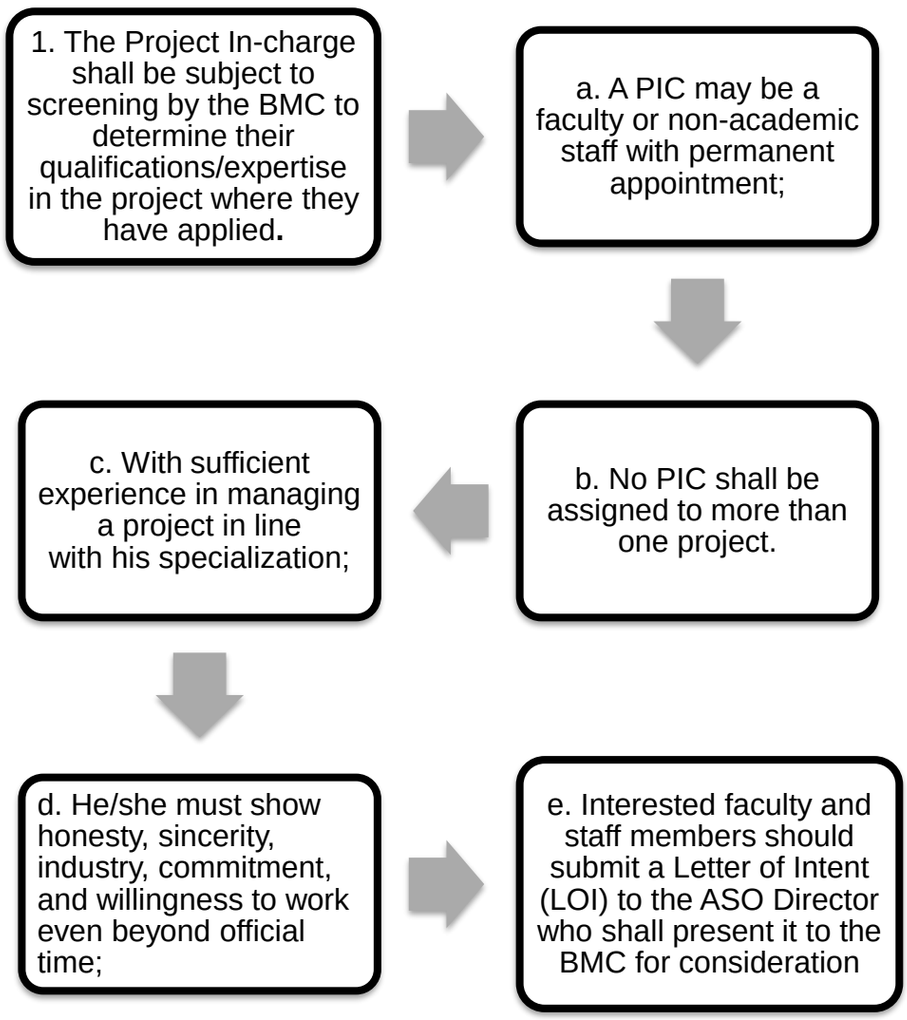
OPERATIONAL GUIDELINES AND PROCEDURES

The college will participate in three major Income Generation Projects activities, namely: agriculture, food manufacturing, and nonagricultural sector. These practices are to be considered as undertakings of a company type with benefit targets. Both programs are separate from Programs of Instruction. Instructional projects are not approved and are handled accordingly by ASO. However, those production activities in some programs will be a passage for possible IGP. Projects can be a venue for science, extension and teaching purposes if they do not obstruct.

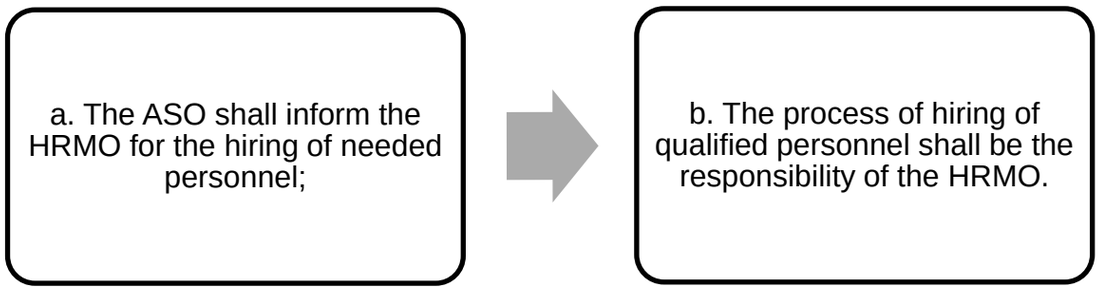
The operation of any entrepreneurial income- generating program requires setting up of appropriate mechanisms to effectively implement the policy guidelines, complimented by detailed procedures.

Guidelines and Policies on Project Operations

A. Personnel Management



2. **Hiring of IGP Personnel**



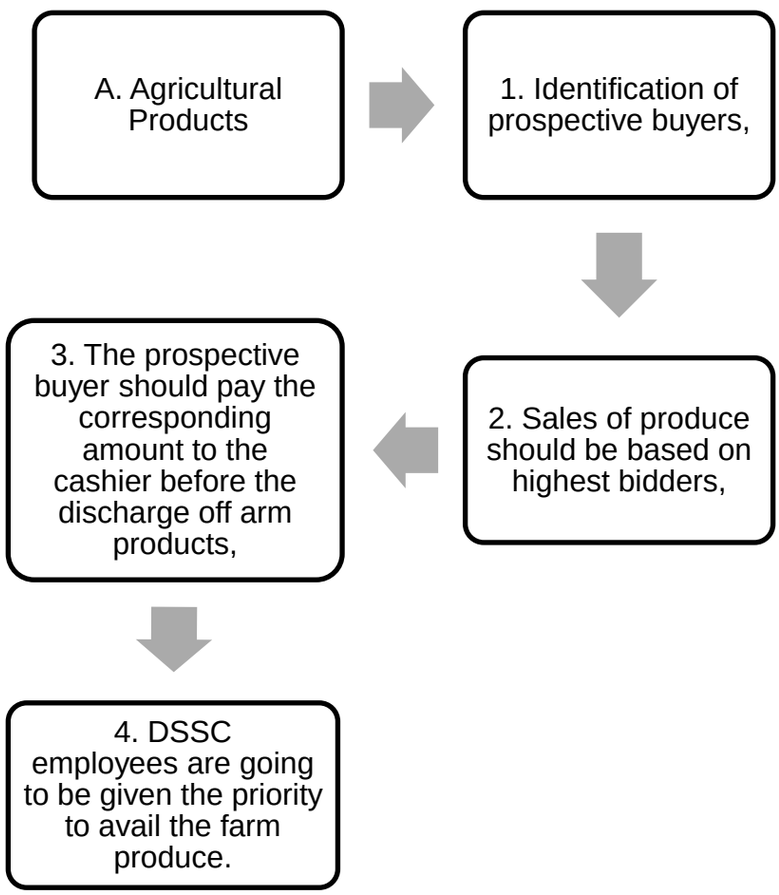
B. Equivalent Teaching Load

DESIGNATION	
a. Auxiliary Services Director	12
b. Project In-Charge	6

Table1. Designation

Note: The ETL received by IGP personnel shall not be included in the computation of overload pay, but considered in the estimates of the workload.

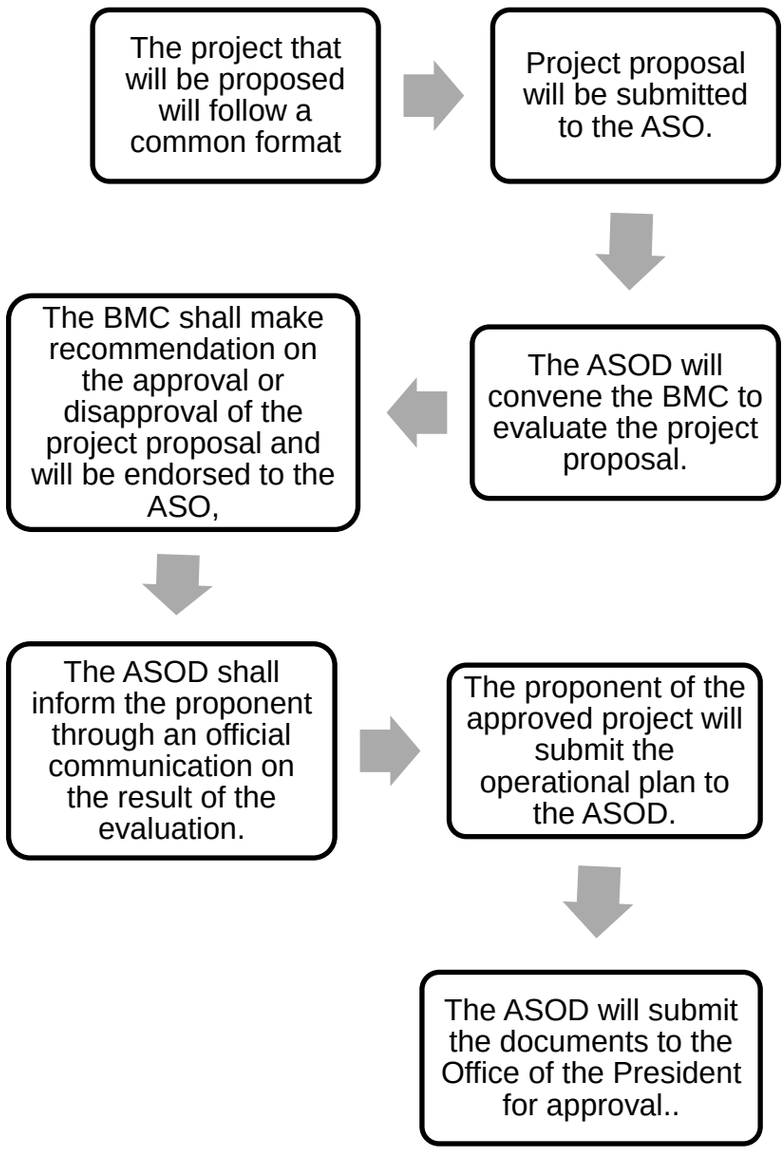
C. Marketing Process



Management on Project Operations

A. Starting a Project

All project proposals should be based on a strategic plan. Any faculty can propose and submit project proposals to the ASO office. The process and the guidelines are the following;



B. Operational Management

BEO projects should adopt management concepts suited for a business that pursues profit as one of its objectives. Operations management will anchor on the principles that will affect clientele satisfaction by producing goods and providing services at its best at the less possible cost and entails sustainability.

B.1. Planning and Budget Preparation

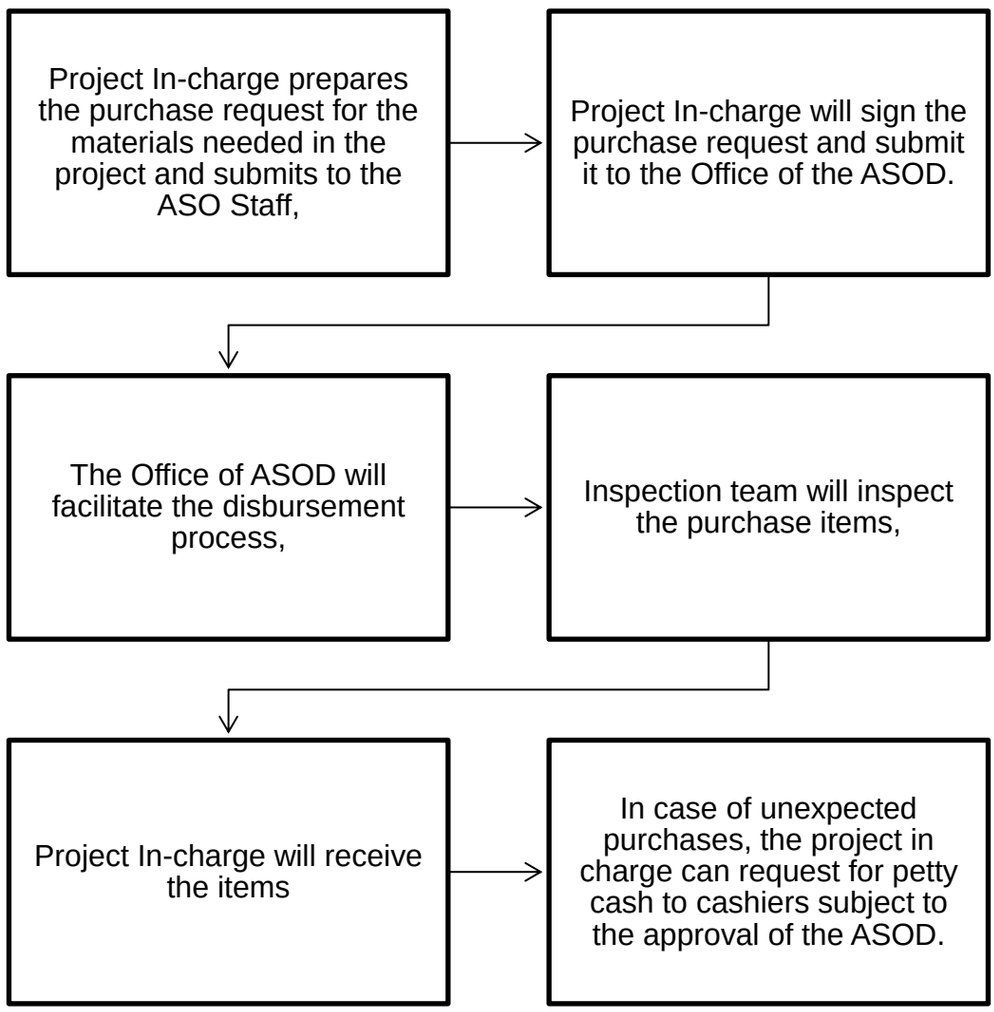
As stipulated in the project proposal, planning and budget preparation shall be prepared and in place prior to the start of the project. Specific budget plans should be prepared by the Project in-charge. Project plan and budget preparation

should be on a quarterly, monthly or weekly basis or whatever period relevant to the project.

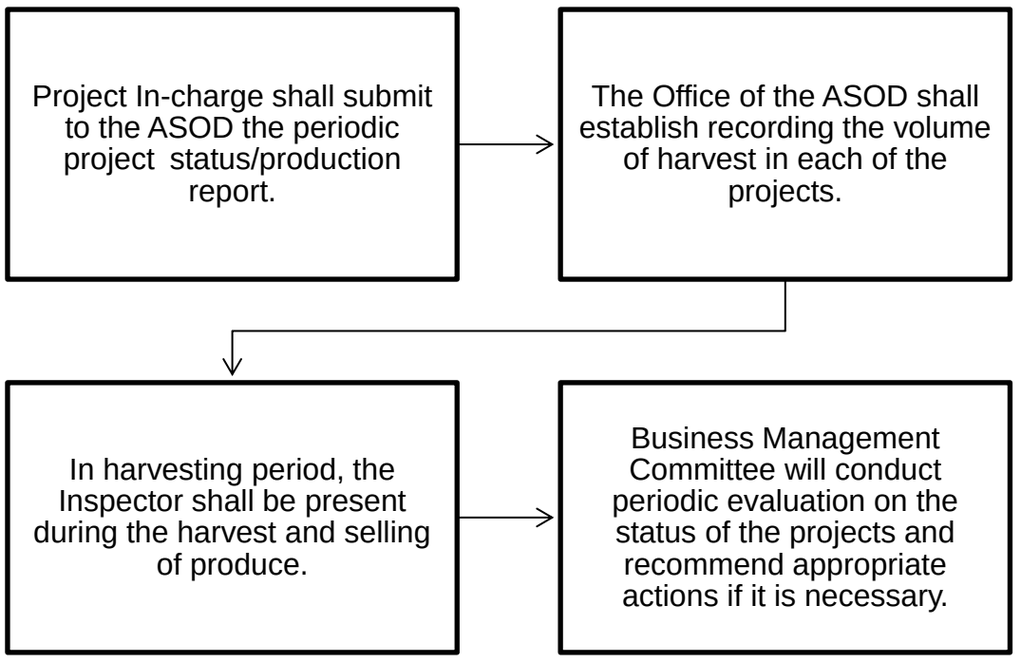
B.2. Project Management

The Project In-charge is responsible and accountable for the entire project operation. It is under the supervision of the ASOD. To ensure cost control and efficient disbursement and procurement procedure it is imperative to establish a system that will not hamper productivity and profitability and preserve the potent integral capacity of the project.

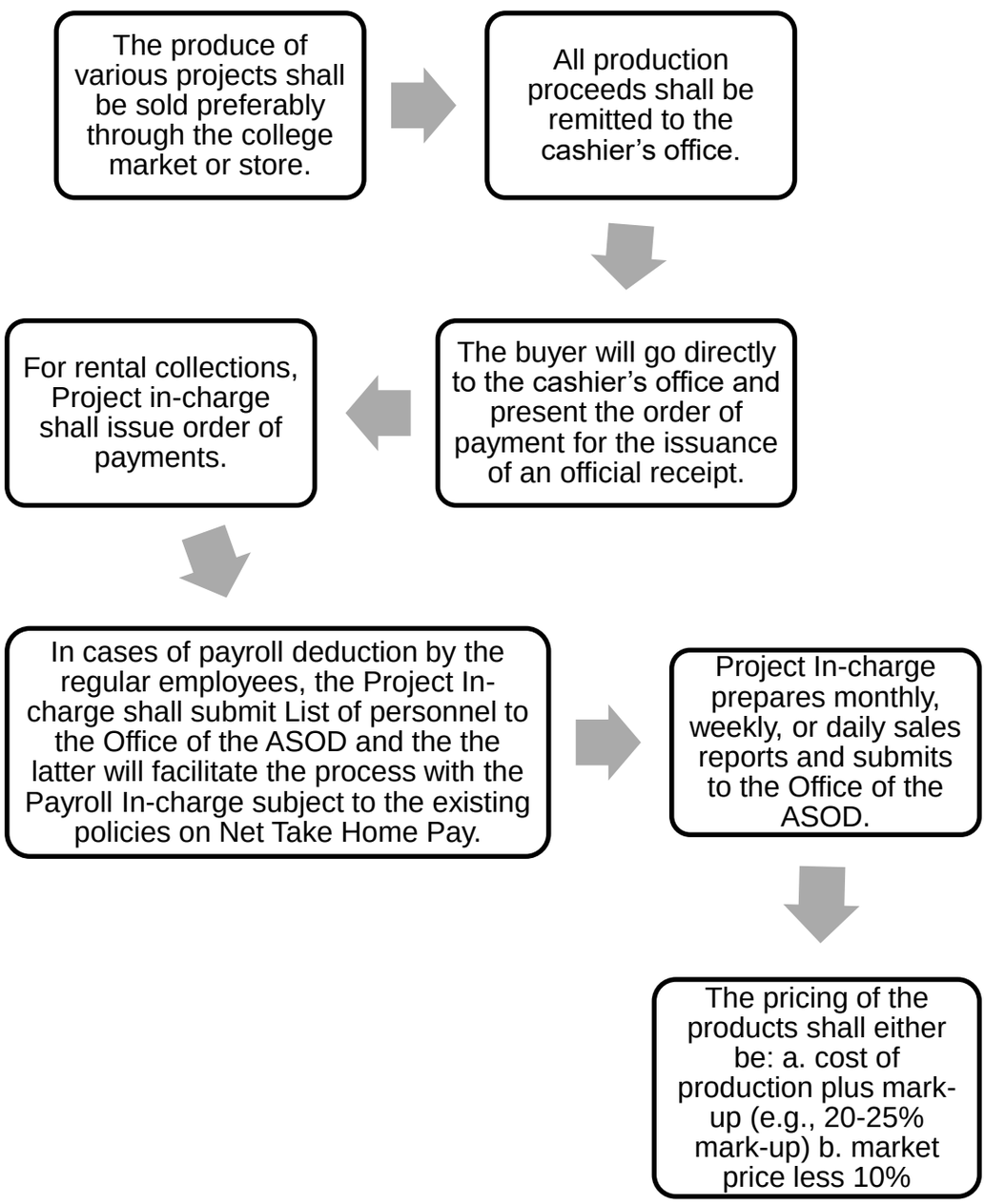
B.3. Purchases



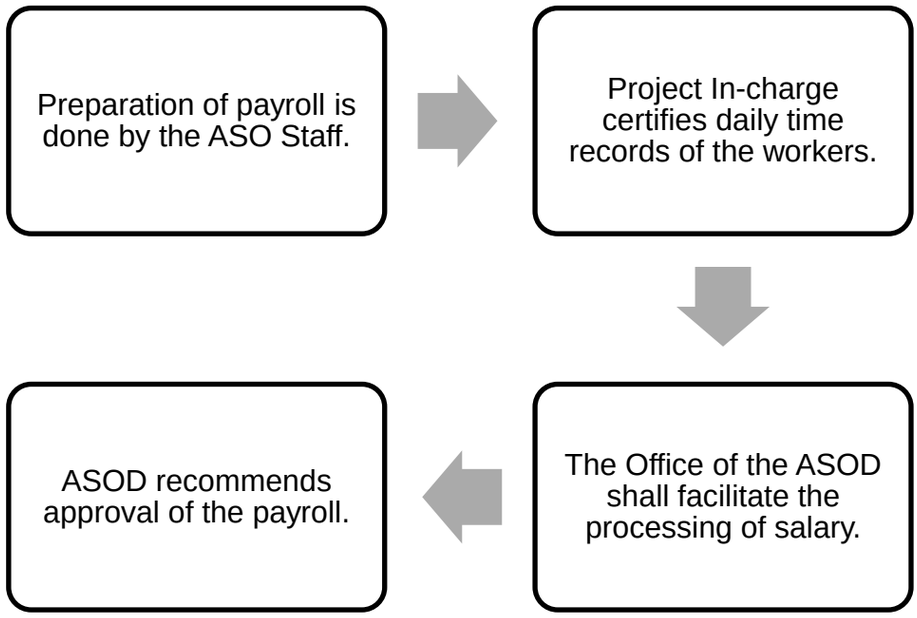
B.4. Production and Harvest



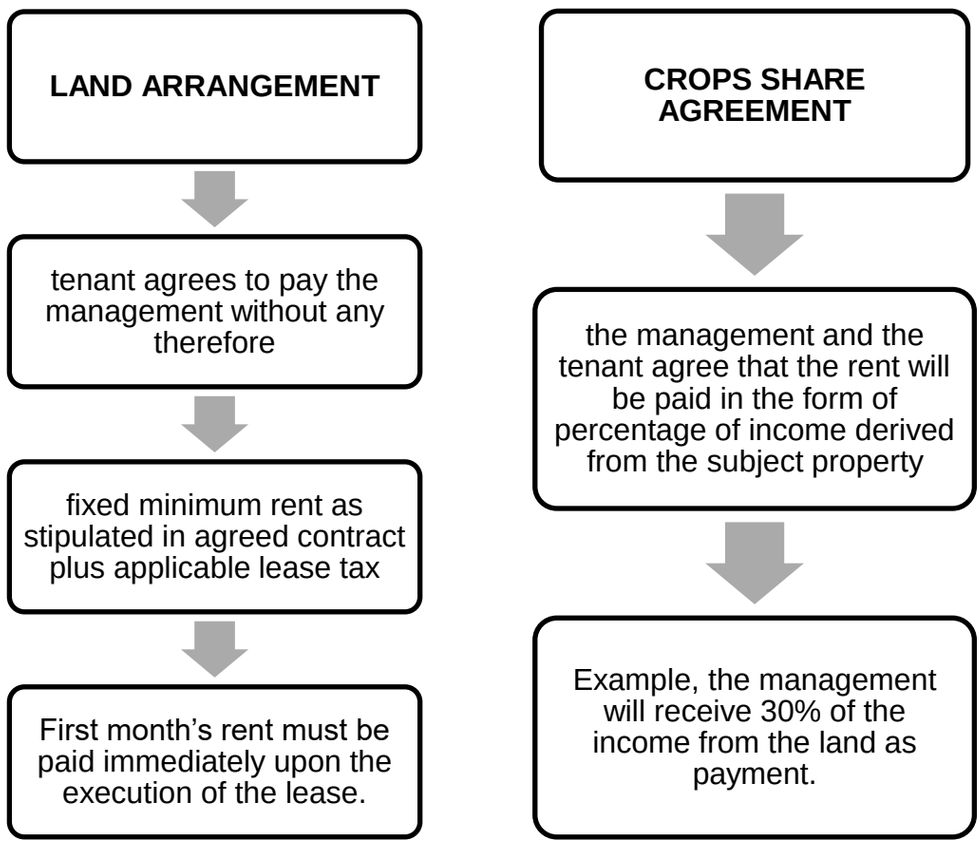
B.5. Sales and Marketing



B.6. Salaries and Wages



B.7. Rental/ Lease Arrangement



C. Financial Management

The cost and availability of supplies and materials determines the salability and profitability of finished products. Procurement system should be fast and reliable and must be cost and quality sensitive. These do not warrant going away from the usual accounting process, rather, this manual proposes to devise an efficient system to affect a better procurement scheme.

All financial transactions of the projects pertaining to disbursements and collections will follow the usual National Government Accounting System (NGAS) procedures. All transactions are centralized and will be facilitated by the Office of the ASOD.

All budgetary requirements stipulated within the project proposal will only be allowed for financial disbursement. Unforeseen expenditures necessary for the project are only allowed to be processed upon compliance of supplementary budget proposals to be executed by the Project In-charge with corresponding justification evaluated and approved by the BMC.

D. Monitoring and Evaluation

Periodic reports relative to the status and operation of the projects shall be submitted by the Project In-charge to the Office of the ASO Director using its prescribed format quarterly. The BMC will convene bi-annually to evaluate the status of the project and review new proposals.

E. Risk Management

The risk management team perhaps the BMC will identify potential problems before they occur so that risk-handling activities may be planned and invoked as needed across the life of the project to mitigate adverse impacts on achieving objectives. These examples are just a few types of risks that organizations need to consider;

1. **Natural Causes-** risk includes flooding, earthquakes, cyclones, and other natural disasters that can lead to the loss of lives and property.

2. **Human causes-** risk refers to negligence at work, strikes, work stoppages, and mismanagement.

3. **Economic causes-** involve things such as rising prices of raw materials or labor costs, rising interest rates for borrowing, and competition.

CHAPTER 5

ROLE OF ACCOUNTING OFFICE FOR INCOME GENERATING PROJECTS

The account books for ASO must be stored separately in the Accounting Office. The ASOD Office also maintains track of the accounts for each project. Financial transactions must be recorded in the book of accounts as the basis for recording them. In the accounting department, the following must be maintained;

- Cash Receipts journal (cash receipts book) used to record cash receipts
- Cash payment journal (cash payment book/cash disbursement book) -Used to record payment of cash/checks
- Journal of collection
- Journal of disbursement
- Journal check issue
- General journal – used to record transactions not mentioned in the Book
- General ledger – used to summarize each financial transaction Recorded in the journals

CHAPTER 6

PROFIT SHARING

Handling projects and performing support functions to those projects are additional burdens and responsibilities to employees concerned, which usually entail extra work. To motivate the school and staff to participate actively in IGP activities, they will tend monetary remuneration and/or incentives on the premise of their contribution to the productivity and profitability of the project. The management and personnel shall consciously plan and implement cost-saving and efficiency-improving measures within the project to further improve its performance, especially if they need the share on the quantity of advantages that may be derived from the enterprise.

Sharing Scheme

Sharing percentage of the net income is as follows:

1. For every net income, 30% will go back to the business operations as additional working capital and
2. Another 30% shall go to the administration for the following purposes:
    a. to improve school facilities
    b. purchase books
    c. MOOE
3. Next 30% will be for the incentive of management staff, of which 70% of the total amount shall be used as incentives to the Project in charge while the remaining 30% shall be divided equally among the administrative staffs who are involved in the operation,
4. The remaining10% will serve as contingency fund

APPENDIX A

DSSC IGP Form 1

(Name of the Project): _____
Production Season: _____

FARM PLAN AND BUDGET

SCHEDULE	SPECIFIC/DETAILE DACTIVITIES		NEEDED INPUT/EXPECTED REVENUE (Labor, Supplies, Materials, Money)			VALUE	REMARKS
			QTY.	UNIT	ITEM SPECIFICATION		

Prepared and submitted by: Approved by:

_____ _____
PIC/DM DP

APPENDIX B

DSSC IGP Form 2

Project: _____

DAILY TRANSACTION RECORD

Date	Activity/Transaction	Amount		Remarks
		Cash	Credit	

Recorded by:

_____
Project-In-Charge

APPENDIX C

DSSC IGP Form 3

REMITTANCE SLIP

Name of Project: _____ Date Remitted: _____
Covered by Sales Invoice Nos._____ Code No.: _____
Fund: _____
Total Amount: _____

	Denomination	Number	Amount
Remittances	P1,000	_____	_____
	500	_____	_____
	100	_____	_____
Cash……	50	_____	_____
Checks……	20	_____	_____
Coins…….		_____	_____
TOTAL……P	10	_____	_____

Remitted by:

_____
Project-In-Charge

Remittance acknowledgement by: _____
O.R. No.: _____
Date: _____
Amount: _____

APPENDIX D

DSSC IGP Form 4

GATES PASS PRODUCT RELEASED

Project: _____

Name of Recipient	Qty/Unit	Item Product	OR/PR No.	Date

OR – Official Receipt
PR–Purchase Receipt

Released by: _____
Date: _____

APPENDIX E

DSSC IGP Form 5

Project: _____

CASH SALES RECORD

Date	Buyer	Item	Cash SALES Invoice	Amount

Prepared and submitted by:

_____
Project-In-Charge

APPENDIX F

DSSC IGP Form 6

Project: _____

ACCOUNTS RECEIVABLE RECORD

Date	Buyer	Item	Credit Invoice No.	Amount

Prepared and submitted by:

_____

Project-In-Charge

APPENDIX G

DSSC IGP Form 7

Crop Project No.:_____Cropping Season: _____

PRODUCTION RECORD

Area (ha)	Gross Yield (cav)	Harvesting Fee (cav)	Threshing Fee (cav)	Net yield (cav)

Attested by: Submitted by:

_____ _____

Security Guard Project-In-Charge

APPENDIX H

DSSC IGP Form 8

(Name of Project): _____ Cropping Season: _____

EXPENSE RECORD

Items	Quantity	Price/Unit	Total Value

(Note: This format can be used for all type of project)

_____
Project-In-Charge

APPENDIX I

DSSC IGP Form 9

(Name of Project): _____
Cropping Season: _____

INVENTORY OF INPUTS

Items	Quantity	Price/Unit	Total Value

(NOTE: Can be used for all types of project)

_____ Project-In-Charge

_____ DM/DPBO

APPENDIX J

DSSC IGP Form 10

Crop Project No.: _____ Cropping Season: _____

WEIGHT SLIP

Number of Sacks	Kilograms

_____
Warehouseman

APPENDIX K

DSSC IGP Form 11

Poultry Project: Layer FLOCK PROJECT RECORD

Strain:_____Date of Arrival:_____
Source:_____Code: LM- 11200_____

FOR THE MONTH OF:_____YEAR:_____

Date	Population	Egg Production (pieces)	% Egg Production	Feed (kg)	FRC	Layer Depletion		Remarks
						Culled	Dead	
1								
2								
3								
4								
5								
6								
7								
8								
9								
10								
.								
.								
28								
29								
30								
31								

Recorded by:

_____
Project-In-Charge

FRC – Feed Conversion Ratio

FRC = Total Feeds_____
Dozen eggs produced

$$\% \text{ Egg Production} = \frac{\text{Egg Produced}}{\text{Population}} \times 100$$

Layer purchased in May 11, 2000

APPENDIX L

DSSC IGP Form 12

POULTRY PROJECT: LAYER

EGG PRODUCTION AND DISPOSAL RECORD

MONTH:_____YEAR: _____

Date	Production	Disposal	Balance	Value
July 1	S	S	S	
	M	M	M	
	L	L	L	
	B/C	B/C	B/C	
	Total	Total	Total	P
July 2	S	S	S	
	M	M	M	
	L	L	L	
	B/C	B/C	B/C	
	Total	Total	Total	P
.				
.				
.				
July 31				

S – small
M – medium
L – large
B/C – Broken/Cracked

Recorded by:

_____
Project-In-Charge

APPENDIX M

DSSC IGP Form 13

(Animal/Fishery Project): _____

HEALTH CARE AND MANAGEMENT

Month:_____ Year: _____

Day	Date	Health Care/Management Activity	Remarks
1			
2			
3			
4			
5			
6			
7			
8			
9			
10			
.			
.			
.			
28			
29			
30			
31			

Recorded by:

_____
Project-In-Charge

APPENDIX N

DSSC IGP Form 14

(Animal Project): _____

FEED COMSUMPTION RECORD

Date started: _____Number of animal/fishes: _____ Breed/Species:_____
Month:_____Year: _____

Day	Daily Feed (kg)		Kind of Feed	Price/kg	Amount	Cum.amt.	Remarks
	AM	PM					
1							
2							
3							
4							
5							
6							
7							
8							
9							
10							
.							
.							
.							
28							
29							
30							
31							

(Note: For swine, small ruminants and fishery project)

Recorded by:

_____
Project-In-Charge

APPENDIX O

DSSC IGP Form 15

(Animal Project): _____

MONTHLY INVENTORY RECORD

Month:_____ Year: _____

Classification	Beg. Inventory	Newly Born	Purchased	Sold	Mortality	End. Inventory	Value	Remarks
TOTAL								

(Note: For swine, small ruminant and large animals)

Recorded by:

_____
Project-In-Charge

APPENDIX P

DSSC IGP Form 16

Animal Project): _____

Production Cycle: _____

BREEDING RECORD

Ewe/Sow No.	Date of Breeding	Buck/Boar No.	Expected Date of Lambing/Parutration	Actual Date of Delivery	Litter Size	Remarks
1						
2						
3						
4						
4						
5						
6						
7						
8						

(Note: Can be used for swine and other livestock but with different terminologies for the typeof animals).

Recorded by:

_____
Project-In-Charge

APPENDIX Q

COMMISSION ON AUDITS CIRCULAR NO. 84-239

To: The Ministers, Heads of Bureaus and Offices, Regional Directors of National Government Agencies, Provincial Governors, City and Municipal Mayors and Managing Head of Government Owned or Controlled Corporations including Subsidiaries, Heads of State Colleges and Universities, National Agricultural/Fishery/Vocational and other Schools, Chief Accountants, COA Auditors, and all other concerned.

This Subject: RULES AND REGULATIONS GOVERNING THE ACCOUNTING OF AGRICULTURAL PRODUCTS

circular is issued to prescribe uniform procedures for the proper valuation, recording, and reporting of soil, animal, and fishery products acquired or produced by government agencies in the national, local, and corporate levels engaged in farming and other agricultural activities and/or animal and fishery production either as their regular function or an additional or special project.

II. Coverage

The rules and regulations herein prescribed shall apply to:

4. Animal and fishery products purchased, raised or acquired free of charge for the purpose of breeding, research, demonstration, instruction, propagation or dispersal, for sale or for work animals, or for institutional use or consumption.

5. Soil products purchased, grown or acquired free of charge for the propagation of seedlings, plants and trees, for research, instructional, and demonstration purposes, for institutional use or consumption or for sale.

III. General Guidelines

1. Funding/Authorization

5.1 Unless otherwise provided by law, agencies engaged in the production of soil, animal and/or fishery products as a special project or income producing activity, shall maintain a revolving fund for the purpose. Transactions shall be maintained/recorded in a separate revolving fund book.

1.2 Transactions which form part of the regular function of the agency such as animal and plant dispersal program may be maintained in the general fund books or as trust liability, as may be provided for by law and regulations.

2. Procurement

2.1 Purchase of agricultural products and supplies shall be governed by the established procedures on government procurements.

3.Sales/Collection

3.1 Sales made at respective project site shall be issued serially numbered provisional receipts/sales invoices.

3.2 Cash shall be turned over to the cashier weekly or once the amount reaches P500, together with a copy of the Daily Production and Sales/Disposal Report (DPSDR).

3.3 The cashier shall issue an official receipt (General Form 13A) for all collections and/or proceeds of agricultural products turned-over by respective project managers. A report of collection shall be prepared in two copies. The original report is submitted to accounting for recording in the books of accounts.

3.4 Sales on account shall be made only upon proper authority.

4. Accounting

4.1 Recording of the transactions shall use the accounts prescribed in the Standard Government Chart of Accounts. The accounts involved and the illustrative journal entries are shown in annexes 1 and 2, respectively.

IV. Specific Guidelines

A. Animal, Poultry and Fishery Products

1. The accounting treatment of animal products which are purchased or acquired free of charge, shall vary according to the purpose of their acquisition, as follows:

   a. Breeding animals are classified as investment.
   b. Work animals are classified as fixed assets.
   c. Those intended for resale are treated as inventories-items for sale.

2.Animal products for immediate sale or disposal such as eggs, dairy, and other small animals shall be taken up as inventory-items for sale.

3.All offspring of animals to be raised or grown shall be taken up initially as inventories-growing animals, upon birth, with a corresponding credit to deferred income.

4.Offspring of large animals such as cattle shall be reported in the Report of Animal Birth (Exhibit 1).

5.All other animals and animal products produced shall be reported in the Daily Production and Sales/Disposal Report (DPSR) as shown in Exhibit.
The project manager shall prepare the DPSR within two days from birth of animals or harvest of farm products. The reports shall be accomplished in five copies to be distributed as follows:

Original - Agency Head
Copy 1 - Accounting

Copy 2 - Property Officer

Copy 3 - Cashier
Copy 4 - File of Project Manager

6. Offspring of animals and those acquired free of charge shall be recorded at standard costs prevailing in the industry. In the absence of such industry standards, each agency head shall constitute an Appraisal Committee to develop a cost system for each variety or species of animal on the basis of prevailing market prices.

7. Upon reaching marketable or maturity age and once their purpose has been determined, the offspring of animals shall be transferred to appropriate accounts either as inventories- items for sales, investment or fixed assets.

8. Animals which perished or are issued for institutional use or consumption, shall be supported by a properly approved Requisition and Issue Voucher (RIV) and dropped from the inventory account. In case of loss, a request for relief from accountability shall be made. Loss due to negligence of the accountable officer concerned, shall be chargeable against him and the amount to be refunded shall be based on the prevailing market value determined by an Appraisal Committee created by the agency head concerned.

9.A livestock ledger card (Exhibit 3), to be kept by the property officer shall be maintained for each large animal such as cattle, carabao, horse, etc., recorded as investment or fixed assets.

10.Their respective offspring shall be recorded in the livestock ledger card of the mother and temporary number is assigned to them. The temporary number shall be prefixed by the mother's number and each offspring shall be consecutively numbered. For example, Cow No. 200 will have her calves numbered 200-1, 200-2 and so forth. The temporary number will be replaced by the brand number which will be its permanent number until its disposal. Upon branding, the offspring will acquire its own property card.

10.1 Small animals such as swine, poultry, and fishery acquired/produced by lot shall be recorded in the livestock ledger card by lot.

10.2 Large animals should be appraised quarterly and/or at the time of disposal. A report on the appraised/standard cost determined shall be submitted by the Appraisal Committee to the agency head, copy furnished the accountant and the property officer. The chief accountant shall prepare a journal voucher to adjust the inventory/investment/fixed asset account for livestock to its appraised value. The property officer shall likewise up-date the property ledger card based on the appraisal/standard cost report.

10.3 A monthly report of inventory (Exhibit 5) shall be prepared for animals and poultry products within 10 days after the end of the month, copy furnished the chief accountant.

10.4 In case of death of offspring's, the project manager shall likewise submit a report (Exhibit 4) to the agency head within two days. The report shall also state the value of the animal stating therein, causes/reasons of death and other necessary details. The report shall also be accomplished in five copies to be distributed as above.

B. Soil Products

1. Seeds and seedlings purchased or acquired free of charge shall be taken up in the books as inventory-seedlings.

6. Perennial crops which do not need periodic replanting (such as coconuts, mangoes, etc.) shall be recorded as investments-perennial crops.

7. Annual crops (such as play, corn, sugar, etc.) which need periodic replanting shall be transferred to inventory - items for sales, upon harvest. Fruit bearing annual crops such as bananas, tomatoes, papaya, etc., shall be transferred to inventory - annual crops upon reaching productive age.

8. Fruits of annual and perennial crops shall be recorded as debit to inventories - items for sale and credited to deferred income at standard cost, upon harvest.

9. Standard cost for soil products may be developed as provided for under No. IV - 1.6.

10. Soil and agricultural products given away or consumed, upon proper authority and supported by an RIV shall be dropped from the books. Those items which deteriorated or were spoiled due to natural causes shall be supported by a report or waste materials which shall be the basis for dropping the inventory account from the books. The report under IV- 1.13 and Exhibit 4 shall also be prepared by the project manager.
11. All soil products harvested shall likewise be reported in the DPSR and monthly report of inventory.

12. For agricultural crops, the project manager shall submit within one month after planting, a report of planted crops (Exhibit 6). The report shall be submitted to the accountant copy furnished the property officer.

V. Repealing Clause

Unless specifically provided for by law, the provisions of existing circulars which are inconsistent herewith are hereby amended and/or modified accordingly.

VI. Effectivity

This circular shall take effect immediately.

APPENDIX R

NATIONAL BUDGET CIRCULAR LETTER NO. 92-8
November 18, 1992

To: Heads, Budget Officers, Chief Accountants/Bookkeepers of State Universities and Colleges, and all Others Concerned

Subject: GUIDELINES ON THE REVOLVING FUNDS (RFS) OF STATE UNIVERSITIES AND COLLEGES (SUCS) FOR THE OPERATION OF AUXILIARY SERVICES 1.0

1.1 Purpose to provide guidelines and procedures to implement. Section 9 of the Special Provisions of SUCs on the operation of Auxiliary Services pursuant to R.A. No. 7180.

2.0 Guidelines

2.1 All receipts of SUCs shall be deposited with the Bureau of the Treasury as income of the General Fund except those provided for in this Circular to be treated as RFs and those exempted under other issuances.

2.2 Receipts from Auxiliary Services such as canteen operations, dormitory/hostel operations, printing press and infirmary of SUCs shall be constituted into a Revolving Fund.

2.3 The initial working capital for a one (1) month period shall be sourced from the regular MOOE allotment under the General Fund and shall be reported to DBM. No additional working capital shall be charged to MOOE unless authorized by DBM.

2.4 Income collections from the operation of the Auxiliary Services shall be deposited in an authorized government depository bank and shall accrue to the Revolving Fund.

2.5 Withdrawals from the Fund shall be done through the joint signatures of two (2) authorized personnel of SUCs.

2.6 All expenses directly related to the operation and maintenance of auxiliary activities shall be charged directly against the Fund.

2.7 At year end, SUCs shall retain the initial working capital. However, the net income from the operation of the Fund shall be remitted to the National Treasury to accrue to the General Fund.

2.8 Records of all transactions of RF for auxiliary services of SUCs shall be maintained in a separate Books of Accounts under Fund 163.

3.0 Reporting Requirement

The State Universities and Colleges concerned shall submit to DBM and to Congress a quarterly report of the income from this Fund and a quarterly report of expenditure. In case of failure to submit said requirements, no withdrawal in the subsequent quarter shall be allowed except upon certification of DBM that said report was submitted.

In addition, a Year-end Annual Report on the operation of these revolving funds shall be submitted to DBM and Commission on Audit not later than the 20th day of the following month covered by the report including a copy of the remittance advice which evidences that deposit of the net income of RF for auxiliary services with the National Treasury as income of the General Fund.

4.0 Saving Clause

Cases not covered in this Circular, including provisions which require further clarification prior to implementation, shall be referred to the Accounting and Finance Bureau – B, Department of Budget and Management.

5.0 Effectivity

This Circular shall take effect CY 1992.
(Sgd.) SALVADOR M. ENRIQUEZ, JR.
Secretary

APPENDIX S

PART OF REPUBLIC ACT NO. 8292

AN ACT PROVIDING FOR THE UNIFORM COMPOSITION AND POWERS OF THE GOVERNING BOARDS. THE MANNER OF APPOINTMENT AND TERM OF OFFICE OF THE PRESIDENT OF CHARTERED STATE UNIVERSITIES AND COLLEGES, AND FOR OTHER PURPOSES.

Be it enacted by the Senate and House of Representatives of the Philippines in Congress assembled:

Section 1. Short Title - This act shall be known as the “Higher Education Modernization Act of 1997”.

Section 2. Declaration of Policy - It is the declared policy of the State to establish, maintain, and support a complete, adequate and integrated system of education relevant to the needs of the people and society. Towards this end, the composition of the governing boards of chartered state universities and colleges is hereby modified in order to a) achieved a more coordinated and integrated system of higher education; b) render them more effective in the formulation and implementation of policies on higher education; c) provide for more relevant direction in their governance; and d) ensure the enjoyment of academic freedom as guaranteed by the Constitution.

Section 3. The Governing Boards; Manner of Appointment

Section 4. Powers and duties of Governing Boards - The governing board shall have the following specific powers and duties in addition to its general powers of administration and the exercise of all the powers granted to the board of directors of a corporation under Section 36 of Batas Pambansa Blg. 69, otherwise known as the Corporation Code of the Philippines.

1. Any provision of existing laws, rules and regulations to the contrary notwithstanding, any income generated by the university or college from tuition fees and other charges, as well as from the operation of auxiliary services and land grants, shall be retained by the university or college, and may be disbursed by the Board of Regents/Trustees for instruction, research, extension, or other program/projects of the university or college: *Provided.* That all fiduciary fees shall be disbursed for the specific purposes for which they are collected.

2. To enter into joint ventures with business and industry for the profitable development and management of the economic assets of the college or institution, the proceeds from which to be used for the development and strengthening of the college or university;

3. To develop consortia and other forms of linkages with local government units, institutions and agencies, both public and private, local and foreign, in furtherance of the purposes and objectives of the institution;

4. To privatize, where most advantageous to the institution, management and non-academic services such as health, food building or grounds or property maintenance and similar such other activities.

REFERENCES

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Cabuhat, W.R. Manual on Income Generating Projects (IGP). Income/Resource Generation Manual for State Universities and Colleges.

Marzan E.G., Jr. 2004. Entrepreneurship and Its Role in the Management of State Colleges and Universities. Central Luzon State University, Science City of Muñoz, Nueva Ecija, Philippines.

Unified Manual of Operation for Income Generating Projects, for ACAP Member-Institutions. Association of Colleges of Agriculture in the Philippines, Inc. (ACAP). November.

